chairman of the Planning Commission during 2004–14, who argued that we should design a scheme for lending our forex reserves to public and private enterprises engaged in infrastructure projects, as it was irrational for Indian entities to be borrowing abroad at high cost while the Reserve Bank was earning such low returns on its reserves. And if the Reserve Bank allowed its reserves to be put to use like this for domestic capital expenditure, it would earn more by way of return, and the borrowing entities would pay less by way of interest and we would have a win-win situation.

The Reserve Bank did not see the cost-benefit calculus that way, and rightly so, for several reasons. The most important concern was that India is a current-account-deficit economy and our reserves, accumulated mainly through capital flows, are actually in the nature of borrowing. This is in sharp contrast to China, for example, whose reserves, earned through current account surpluses, are unencumbered. Moreover, frittering away reserves like this would compromise the Reserve Bank's ability to defend the exchange rate in times of volatility and also erode its external credit rating. There were also concerns that any relaxation like this would, in fact, be the thin end of the wedge. Once the Reserve Bank lets go of caution, there would be no end to similar proposals for spending away the reserves, which could severely hurt our external sector viability.

Paying Iran for Oil Imports during the Sanctions

In the area of foreign exchange management, a sensitive task I had to handle as governor related to payments to Iran for the oil we imported from it while remaining in compliance with the sanctions the country had come under. The point to note is that the UN sanctions did not prohibit buying oil from Iran, but payment for the imports became increasingly difficult as first the US, and later Europe, tightened the use of their currencies for settling these transactions. Here is how the situation developed.

Since India and Iran are both members of the Asian Clearing Union (ACU), net trade settlements were generally routed through the ACU mechanism. The ACU comprises nine countries—Bangladesh, Bhutan,